1099 MONEY · RATE & CONTRACT KIT

Charge enough. Get it in writing. Get paid.

A rate calculator that includes your taxes, a project pricer, a proposal, a services agreement, a change order and invoices. Plus a 7-page guide to using them.

- Rate calculator (2026 tax)
- Project pricer
- Proposal + agreement
- Invoices + log

Edition 2027.1 · 2026 federal tax figures

Educational content. Not tax or legal advice.

START HERE

What's in the kit

File	Use it for
Rate-and-Invoice-Kit.xlsx	Rate Calculator, Project Pricer, Invoice, Invoice Log, Tax Tables. Excel, Google Sheets or Numbers.
1-Proposal-Template.docx	Win the project: goal, scope, not-included, timeline, price, next step.
2-Freelance-Services-Agreement.docx	13 plain-English clauses: deposit, late fee, revisions, ownership on payment, cancellation.
3-Change-Order.docx	Turn "can you also..." into paid work.
4-Invoice-Template.docx	If you'd rather invoice from Word or Google Docs than the spreadsheet.

Your rate floor in five steps

The Rate Calculator tab does this for you. Here's the logic, with the example already in the file.

1. **Take-home you want:** $55,000 a year, after tax.
2. **Add what an employer paid for:** health insurance $6,000, retirement $5,000. After-tax money needed: **$66,000**.
3. **Gross up for tax:** $84,000 of profit leaves about $66,430 after 2026 federal tax ($17,570, single, no state tax). That 21% is self-employment tax plus income tax, not your bracket.
4. **Add business costs:** $6,000. Revenue needed: **$90,000**.
5. **Divide by billable hours, not total hours:** 48 weeks × 25 hours = 1,200. **$90,000 ÷ 1,200 = $75 an hour.**

> THE FLOOR, NOT THE GOAL
>
> $75 is the least that hits this target. Check it against what experienced people in your niche charge. If the market pays less than your floor, change the niche or the offer before you cut the price.

PRICING

Price projects, not just hours

Clients buy results. Hourly billing punishes you for getting faster; a project price rewards it.

Use the Project Pricer tab

1. **List every task**, including the invisible ones: the discovery call, email, file prep, project management.
2. **Estimate hours honestly**, then compare with your last similar project. Most people underestimate by a third.
3. **Add a buffer** (15% in the example) for revisions and surprises, and a rush surcharge when a client needs it fast.
4. **Round up** and set a deposit. The example: 31 hours × $75 = $2,325 + 15% = **$2,700**, with a $1,350 deposit.

Offer two options

Give the client a choice of scope, not a choice of whether to hire you: **Option A** (the full project) and **Option B** (a smaller scope at a lower price). If they push on price, move them to B instead of discounting A.

Packages for repeat work

Package	Example	Price logic
Fixed project	Logo + brand sheet, 3 concepts, 2 revisions	Hours × rate + buffer
Monthly retainer	Up to 10 hours of design a month, rolled over once	Hours × rate, small discount for commitment
Day rate	On-site shoot, workshop	Hourly floor × billable hours per day

MINIMUMS

Set a minimum project size. Small jobs carry the same admin as big ones and quietly drag down your real hourly rate.

WINNING THE WORK

A proposal that closes

One or two pages. Written in the client's words. Ending in one clear next step.

Section	What makes it work
The goal	Repeat their problem back in their words. It shows you listened, and it frames the price around the outcome.
What I'll do / what you'll get	Outcomes first, then exact deliverables: how many, what format, by when.
Not included	The single most useful section. Anything listed here can become a paid change order later without an argument.
Revisions	A number, not "unlimited". Two rounds is common.
Timeline	Dates that depend on their feedback times, stated plainly.
Investment	One price per option, the deposit, and payment terms. No hourly breakdown unless they ask.
Next steps	"Reply to accept and I'll send the agreement and deposit invoice." Then follow up after 3–4 days.

Before you send it

- [ ] Price checked against the Project Pricer, not a gut feeling.
- [ ] "Not included" has at least three lines.
- [ ] The deposit is big enough that you'd be fine if they disappeared after paying it.
- [ ] It has an expiry date (30 days), so your calendar isn't held forever.

GETTING IT IN WRITING

The agreement, clause by clause

Plain English on purpose. Read it, adjust the [brackets], and have a lawyer in your state review it before you rely on it.

Clause	Why it's there
1–2 Scope + timeline	Points to the proposal, so the agreement stays short. Delays on their side move your dates.
3 Fees and payment	Non-refundable deposit, due dates, a late fee (check your state's limits) and the right to pause work while an invoice is overdue.
4–5 Expenses + revisions	Stock images and extra rounds are paid for, not absorbed.
6 Client responsibilities	Feedback on time, and they own what they give you.
7 Ownership	Rights transfer **when you're paid in full**. You keep drafts, unused concepts and your own tools.
8 Portfolio	You can show the work unless they ask you not to.
9 Confidentiality	Both ways.
10 Independent contractor	You set your own hours and tools, and handle your own taxes. Supports contractor status.
11 Cancellation	Paid for work done, deposit kept, optional kill fee.
12 Liability	Caps your exposure at the fees paid. Pair it with professional liability insurance.
13 General	Governing law, changes in writing, e-signatures count.

SCOPE CREEP, HANDLED

When a client asks for something outside the proposal, reply the same day with the **Change Order**: what's changing, why it's extra, the cost and the new date. Start once it's approved.

GETTING PAID

Invoices that get paid on time

- [ ] **Invoice the day you deliver.** Every day you wait is a day added to when you're paid.
- [ ] **A real due date** (14 days is common), not "net 30" buried in small print.
- [ ] **A pay-now link** plus bank details. Card fees are a deductible expense; slow payment isn't.
- [ ] **Reference the proposal** and subtract the deposit, so the total is obvious.
- [ ] **Log it** in the Invoice Log. The status column flags anything overdue.

The follow-up schedule

When	What you send
3 days before due	Friendly reminder with the link.
Day 1 overdue	"Could you check it's in your payment run?"
Day 7	Ask for a date. Mention the late fee from the agreement.
Day 21	Pause work, as the agreement allows.
Day 30+	Final notice, then small claims or collections if needed.

Word-for-word versions of all of these are in the **Client Email Scripts** (included in the Freelancer Money Bundle).

Watch one number

The Invoice Log's **average days to pay**. If it creeps past your terms, ask for bigger deposits or move slow clients to pay-upfront packages.

EVERY JANUARY

Raise your rate on purpose

1. **Re-run the Rate Calculator** with this year's costs and tax tables. Your floor usually moves up.
2. **New clients first.** Quote the new rate to every new inquiry from today.
3. **Existing clients with notice:** 30–60 days, a clear new number, and anything already booked stays at the old rate.
4. **Expect a few to leave.** If nobody ever says no, you're probably still underpriced.

Your set-aside goes up too

The Rate Calculator shows your **tax set-aside %** at your target profit (21% in the example, before state tax). Move that percentage into a separate tax savings account the day each payment lands.

MAKE THE TAX SIDE AUTOMATIC

The **Quarterly Tax Tracker** takes your real income and expenses and tells you what to pay the IRS before each deadline. Both kits, plus the Client Email Scripts, come together in the **Freelancer Money Bundle**. Already bought one? Email [your-email] for your upgrade code.

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